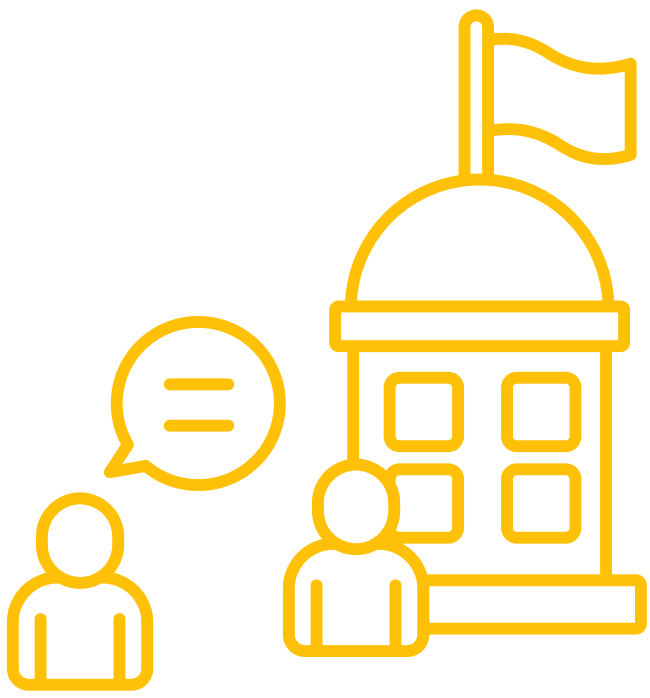
Money in AI

AI Lobbying

Lobbying is the act of influencing lawmakers, regulators and government officials to benefit a certain group by creating laws, policies and regulations that are beneficial to them.
In the context of AI, many AI companies are lobbying for looser regulations and guardrails, advantageous policies that allow them to use energy and resources, and federal contracts. AI companies often advocate for 'innovation-friendly'(looser guardrails) regulations so that there is less of a compliance burden and strict oversight frameworks. In addition, AI lobbyists' main focus is often the expansion of data centers and access to more abundant resources. AI companies also lobby for profitable and lucrative collaboration with the government for integrating AI into federal agencies.





Lobbying for AI is often part of a larger issue with AI regulatory frameworks. The debate focuses on the balance between safety and innovation, where prioritizing one may oppress the other, causing issues. Government have to put some weight into the innovation aspect, as the development of AI has often become synonymous with the industrial and military power that a country holds. However, simply prioritizing innovation creates regulatory gaps where users can be exploited without any significant social issues addressed that may arise due to the innovation of AI.

Many AI companies are pouring millions of dollars into lobbying efforts. For example, Open AI advocated for stricter regulations for model training, though the company had relied on similar techniques that the regulation restricts just a few years prior. Such lobbying efforts can be seen as being strategic, happening only to prevent the growth of competitors. There has also been a rising trend of major companies in the AI field dismantling their AI ethics teams while investing millions into AI lobbying. For example, Meta spent 19.3 million USD on AI lobbying in 2023, and has continued to invest heavily in lobbying activities.





AI lobbying, however, does not just happen from AI firms. Advocacy groups and NGOs can advocate for the ethical use of AI, and for the government to prioritize safety and guardrail regualtions above others.

Money in AI

The AI Race

The AI Arms Race



Artificial Intelligence has become synonymous with the power that a nation has, whether it be economic, social or militaristic. Many nations are chasing AI development in order to gain a geopolitical advantage over rival nations. The AI Arms race between China and the US has become the symbol of AI rivalry. China and the US are both countries driving innovation in the AI field, with both competing for first place in AI development.

The AI arms race can come with the cost of guardrails and protective protocals being ignored or being delayed in development due to innovation being prioritized.

The AI race is not limited to countries. There is also constant competition happening between AI companies themselves as well. The market value of AI is 514.5 billion USD in total(2026). The money invested into AI development amounted to 2.5 trillion USD in total(2026). There are massive funds being invested into AI development because there is potential in the technology. However, it does not yield profits yet, meaning that companies are fighting in the market to gain as many users as possible.





Companies are performing mass layoffs, firing thousands of human employees and replacing them with AI agents. However, AI models are not perfect yet to replace mass numbers of employees; in many cases AI slows human employees down. For example, programmers claim that just because AI generates code faster it doesn't mean that it is more efficient. Human review of code is extremely important to ensure that the code is cohesive with the rest of the system, but human reviews are not as fast as AI generated code. This causes the workflow to slow down, not move faster.

These layoffs and rushed AI adoptions are happening due to the AI race. If companies do not adopt AI like their competitors, they risk become less efficient, less desirable, less innovative than their rivals. Each individual company is choosing what they see as the best choice for themselves, while it leads to a worse overall outcome. In a way it is similar to the prisoner's dilemma.

